The 1946 Demonetization[3]

On 12 January 1946, ₹1,000, ₹5,000 and ₹10,000 notes were demonetized through the passage of the High Denomination Bank Notes (Demonetization) Ordinance.

The rationale for the demonetization by the pre-Independence government was ostensibly to force unscrupulous businessmen to declare their black money. During World War II, they had supposedly made huge fortunes supplying the Allied war effort and were suspected of concealing their profits from the tax department. A similar step was undertaken in the UK in 1945, where the Bank of England had called in notes of £10 and higher denominations.

Indian nationalist leaders, who were not consulted on the decision, disagreed with the move. Rajendra Prasad, who would become the first President of India, declared, 'While we Congressmen have no sympathy with profiteers and dealers in the black market, it is not right to penalise honest people who, in good faith, have their savings in notes of demonetized value… A large number of people belonging to the middle and lower middle classes will be hit hard.'

Rajendra Prasad went on to lucidly point out how the problem had been created in the first place: 'Many of the wartime ordinances succeeded in complicating the problems which they were intended to solve and in creating opportunities for corruption. The new ordinances are not going to fare any better.'

It was reported that absolute secrecy was maintained. Only eight officials knew about the demonetization plan, including the RBI Governor and the Finance Member of the Viceroy's Council (the equivalent of today's finance minister), and these officers took notes and typed drafts themselves! No carbon copies were made or kept. The ordinance was flown in a special plane to Poona for the Viceroy's signature and then flown back.

A time limit of 10 days, till 23 January (later extended to 9 February 1946), was fixed for the exchange of demonetized notes by